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Subject: Rahil Jafry: El Paso Unveils Wholesale Trading Desk.

El Paso Unveils Wholesale Trading Desk.

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El Paso Energy InternationalTransportadora Brasileira Gasoduto
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United States power company El Paso yesterday unveiled a wholesale trading and risk management platform at its US\$10mn headquarters in Rio de Janeiro, which will cover all of El Paso's Latin American operations, the company said in a statement.

"With the implementation of merchant power stations [in Brazil] the company will begin to commercialize electric energy on the wholesale market for distributors and large clients," El Paso said.

The trading desk has 54 stations, and is similar to that of a stockbroker trading house, the company explained. It is the same system used by El Paso's Merchant Energy Group at the company's Houston headquarters, with 300 traders, and in London, where it has 150 traders.

Contracts are closed through the wholesale energy market (MAE) or through bilateral contracts, El Paso explained.

The trading desk is part of El Paso's strategic shift to concentrate on developing regional bases with integrated businesses, from exploring, extracting and transporting natural gas to thermoelectric power generation and electricity trading. Some US\$5bn will be invested in Brazil through 2005.

As well as a number of exploration and production activities in Brazil, El Paso has generating projects under way or under evaluation which will total 2,625MW installed capacity:

The projects are 100% ownership of the 400MW Manaus natural gas plant in Amazonas state that began operations in 1997; 100% of the 870MW Macae Merchant natural gas thermoelectric project in Rio de Janeiro, scheduled to begin 200MW operations in September 2001 and full production in 2002; 50% of the 350MW Porto Velho thermoelectric project in Roraima, scheduled for operations in September 2001. The plant will initially use diesel fuel, until a natural gas pipeline can be built to supply the plant, which will then be converted to use three natural gas turbines and one steam turbine. Brazil's CS Participacoes the remaining 50%.

An additional projects is the 480MW Araucaria thermoelectric project in Parana state, scheduled to begin operations in mid-2002, with two natural gas turbines and one steam turbine. El Paso owns a 60% stake while Brazil's Copel and Petrobras subsidiary Gaspetro each own 20%.

Projects under evaluation are the 300MW Termocatarinense Norte - Guaramirim thermoelectric project in Santa Catarina, in which El Paso owns 70%; and the 225MW Paracambi thermoelectric project in Rio de Janeiro that would produce 125MW from early 2002 followed by a further 100MW from 2003. El Paso would own 100% of this project.

El Paso also owns a 9.67% stake in TBG, the Brazilian management company of the Bolivia-Brazil natural gas pipeline, and a 2% stake in Bolivian management company GTB.

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